

August 14, 2026

Subject: Management's Discussion and Analysis of the consolidated financial statements for the second quarter ("2Q26") and six-month period ended 30 June 2026

To: Directors and Managers
The Stock Exchange of Thailand

Management's discussion and analysis of financial statement for 2Q26 ended 30 June 2026

Chularat Hospital Public Company Limited ("the Company") reported the operating performance for the 2Q26 as follows:

Statement of comprehensive income Unit : Million Baht	2Q26	2Q25	Increase (Decrease)	Change (%)
Revenues from hospital operations	2,053.0	2,012.1	40.9	2.0%
Other revenues	22.9	12.7	10.2	80.4%
Total revenues	2,075.9	2,024.8	51.1	2.5%
Cost of hospital operations	1,512.5	1,464.4	48.1	3.3%
Administrative expenses	281.5	281.0	0.5	0.1%
Net Profit of the Company	228.8	207.6	21.2	10.2%
<i>Earnings per share (Baht/share)</i>	<i>0.0208</i>	<i>0.0189</i>		
<i>Gross Profit Margin (%)</i>	<i>26.33%</i>	<i>27.22%</i>		
<i>Net Profit Margin (%)</i>	<i>11%</i>	<i>10%</i>		

The Company's net profit was Baht 228.8 million for 2Q26, increasing by Baht 21.2 million, or 10% YoY. Net profit margin increased from 10% to 11%. Overview of operating results was discussed as below.

Revenues from Hospital Operations

In 2Q26, the Company has revenues from hospital operations of Baht 2,053.0 million, increasing by Baht 40.9 million, or 2% YoY.

Revenue from General Patients in 2Q26 amounted to Baht 1,316.30 million, representing a decrease of Baht 39.52 million, or 3% YoY. Outpatient (OPD) revenue increased by Baht 58.29 million, or 9%, driven by higher revenue per visit resulting from a broader range of diagnostic and medical procedures provided. Meanwhile, inpatient (IPD) revenue decreased by Baht 97.81 million, or 14% YoY.

Outpatient (OPD) revenue increased by Baht 58.29 million YoY, mainly driven by higher patient volumes across several specialized medical centers, particularly the Heart Center, as well as other specialized centers that recorded growth in both patient visits and treatment revenue. This reflects increasing demand for specialized medical services, together with the expansion of more complex and higher-value treatments. As a result, overall OPD revenue increased compared with the same period of the previous year.

On the other hand, Inpatient (IPD) revenue decreased by Baht 97.81 million, mainly due to a decline in revenue from Middle East patients, together with a slowdown in bariatric surgery revenue compared with the same period of the previous year. As a result, overall IPD revenue decreased. Taking OPD and IPD revenue together, total revenue declined by approximately Baht 39.52 million.

Revenue from Social Security Scheme in 2Q26 increased by 10% YoY. The growth was supported by an increase in the number of insured persons, together with higher revenue generated from specialized medical services, including bariatric surgery, Heart Center services, and Cancer Center services. The increase in patient volumes and the higher complexity of treatments contributed to higher revenue per patient. Moreover, the lower impact from the adjustment to medical treatment income for 26 chronic diseases in the final period of 2025, compared with the same period of the previous year, contributed to an increase in overall Social Security revenue and was another key factor supporting revenue growth during the quarter.

Revenue from Other Governmental Schemes in 2Q26 increased by 27% YoY. The growth was mainly driven by higher revenue from specialized medical services, particularly from the Heart Center and Cancer Center, as well as increased revenue from the Universal Coverage for Emergency Patients (UCEP) program. As a result, revenue from other governmental schemes recorded significant growth during the period.

Unit: Million Baht	2Q26	2Q25	Increase (Decrease)	Change (%)
Revenue from general patients	1,316.30	1,355.82	(39.52)	(3%)
Revenue from outpatients (OPD)	712.50	654.21	58.29	9%
Revenue from inpatients (IPD)	603.80	701.61	(97.81)	(14%)
Revenue from government welfare programs	736.70	656.30	80.40	12%
Social security schemes	606.40	553.65	52.75	10%
Other governmental schemes	130.30	102.64	27.66	27%
Total revenue from hospital operations	2,053.00	2,012.12	40.88	2%

Cost of Hospital Operations

Cost of hospital operations in 2Q26 amounted to Baht 1,512.5 million, an increase of Baht 48.1 million, or 3% YoY. The increase in costs was in line with the growth in medical service volumes, as well as the provision of more complex treatments, resulting in higher costs associated with medical treatment and services. Nevertheless, the hospitals continued to focus on effective cost management by controlling costs related to medical services in line with patient volumes and the nature of treatments provided. As a result, overall operating costs increased at a manageable level and remained within the Company's cost management framework.

Administrative Expenses

Administrative expenses in 2Q26 amounted to Baht 281.5 million, an increase of Baht 0.5 million YoY. Administrative expenses remained broadly in line with the previous year, reflecting the Company's effective expense control and management of fixed costs, despite the overall increase in operating activities and revenue.

Management's discussion and analysis of financial statement for the six-month period ended 30

June 2026

Chularat Hospital Public Company Limited ("the Company") reported the operating performance for the 6M26 as follows:

Statement of comprehensive income Unit : Million Baht	6M26	6M25	Increase (Decrease)	Change (%)
Revenues from hospital operations	4,129.4	3,999.7	129.8	3.2%
Other revenues	55.1	43.0	12.1	28.2%
Total revenues	4,184.5	4,042.6	141.9	3.5%
Cost of hospital operations	2,995.8	2,902.6	93.2	3.2%
Administrative expenses	579.9	558.0	21.9	3.9%
Net Profit of the Company	476.4	433.0	43.4	10.0%
<i>Earnings per share (Baht/share)</i>	<i>0.0433</i>	<i>0.0394</i>		
<i>Gross Profit Margin (%)</i>	<i>27.45%</i>	<i>27.43%</i>		
<i>Net Profit Margin (%)</i>	<i>11%</i>	<i>11%</i>		

The Company's net profit was Baht 476.4 million for 6M26, increasing by Baht 43.4 million, or 10% YoY. Net profit margin remained the same at 11%. Overview of operating results was discussed as below.

Revenues from Hospital Operations

In 6M26, the Company has revenues from hospital operations of Baht 4,129.4 million, increasing by Baht 129.8 million, or 3.2% YoY.

Revenue from General Patients in 6M26 amounted to Baht 2,640.9 million, representing a decrease of Baht 7.3 million, or 0% YoY. Outpatient (OPD) revenue increased by Baht 101.0 million, or 8%, while inpatient (IPD) revenue decreased by Baht 108.3 million, or 8% YoY.

Outpatient (OPD) revenue increased by approximately Baht 101.0 million YoY, mainly driven by revenue growth from various specialized medical centers. This reflects a trend toward more diversified services and greater focus on specialized treatments, particularly for conditions requiring specialist care and more complex diagnostic procedures. As a result, revenue per patient may increase depending on the type and complexity of treatment provided.

Meanwhile, IPD revenue decreased by approximately Baht 108.3 million, mainly due to lower revenue from bariatric surgery and the Heart Center, as well as a slowdown in patient admissions. This was partly attributable to the increasing adoption of Copayment arrangements by insurance companies, under which patients are required to bear part of the treatment costs in certain cases. This may have raised patients' concerns regarding out-of-pocket expenses and potentially affected their decisions to undergo inpatient treatment, particularly in cases where outpatient treatment or postponement of treatment was an option. Consequently, the number of patient admissions declined, affecting overall IPD revenue.

Revenue from Social Security Scheme in 6M26 increased by 7% YoY. The growth was supported by an increase in the number of insured persons, together with higher revenue generated from specialized medical services, including bariatric surgery, Heart Center services, and Cancer Center services. The increase in patient volumes and the higher complexity of treatments contributed to higher revenue per patient. Moreover, the lower impact from the adjustment to medical treatment income for 26 chronic diseases in the final period of 2025, compared with the same period of the previous year, contributed to an increase in overall Social Security revenue.

Revenue from Other Governmental Schemes in 6M26 increased by 31% YoY. The growth was mainly driven by higher revenue from specialized medical services, particularly from the Heart Center and Cancer Center, as well as increased revenue from the Universal Coverage for Emergency Patients (UCEP) program. As a result, revenue from other governmental schemes recorded significant growth during the period.

Unit: Million Baht	6M26	6M25	Increase (Decrease)	Change (%)
Revenue from general patients	2,640.9	2,648.2	(7.3)	0%
Revenue from outpatients (OPD)	1,378.9	1,277.9	101.0	8%
Revenue from inpatients (IPD)	1,262.0	1,370.3	(108.3)	(8%)
Revenue from government welfare programs	1,488.5	1,351.5	137.0	10%
Social security schemes	1,236.3	1,158.5	77.8	7%
Other governmental schemes	252.2	193.0	59.2	31%
Total revenue from hospital operations	4,129.4	3,999.7	129.7	3%

Cost of Hospital Operations

Cost of hospital operations in 6M26 amounted to Baht 2,995.8 million, representing an increase of Baht 93.2 million, or 3.2% YoY. The increase was in line with the growth in medical service revenue, particularly from higher patient volumes and the expansion of more complex medical treatments. Nevertheless, the hospital continued to emphasize effective cost management across key areas, including pharmaceuticals and medical supplies, physician fees, workforce management, and staff scheduling aligned with actual patient volumes. As a result, operating costs increased at a lower rate than revenue growth.

Administrative Expenses

Administrative expenses in 6M26 amounted to Baht 579.9 million, increasing by Baht 21.9 million, or 3.9% YoY. The increase was primarily attributable to higher personnel expenses resulting from annual salary adjustments. In addition, other expenses increased in line with revenue growth, while marketing expenses were expanded to support the growth of the patient base. General operating expenses also increased in accordance with the expansion of medical services and the development of specialized medical centers.

Statement of financial position	30 June	31 December	Increase	Change
Unit : Million Baht	2026	2025	(Decrease)	(%)
Total assets	10,154	10,239	(85)	(0.8%)
Total liabilities	1,970	1,979	(9)	(0.5%)
Shareholders' equity	8,184	8,260	(76)	(0.9%)
Debt to equity ratio (x)	0.24	0.24		

As of June 30, 2026, the Company has **total assets** of Baht 10,154 million, decreased by Baht 85 million from December 31, 2025, primarily due to

- Cash and cash equivalents decreased by Baht 550 million, as detailed in the statement of cash flows.
- Trade and other current receivables increased by Baht 53 million, while accrued medical treatment income increased by Baht 132 million, mainly driven by higher medical service revenue, together with the timing of collections in accordance with billing cycles.
- Property, plant and equipment increased by Baht 146 million, primarily from investments in medical equipment and the expansion of hospital facilities.

- Other non-current assets increased by Baht 76 million, mainly due to advance payments made to contractors for construction projects.

Total liabilities amounting to Baht 1,970 million as of June 30, 2026, decreasing by Baht 9 million from December 31, 2025, as described below.

- Trade and other payables increased by Baht 15 million.
- Long-term loans from financial institutions decreased by Baht 29 million, mainly due to scheduled loan repayments.

Total shareholders' equity amounting to Baht 8,184 million as of June 30, 2026, decreasing by Baht 76 million from December 31, 2025 is in line with the operating result of the Company.

Debt to equity ratio (DE Ratio) stood at 0.24x, remaining at a low level. This reflects the Group's strong financial position and substantial capacity to undertake additional borrowing to support future business expansion in line with the Company's strategic growth plan.

Cash Flow Statement Unit : Million Baht	6M26	6M25	Change
Net cash from operating activities	509.6	713.9	(204.33)
Net cash used in investing activities	(428.1)	(274.0)	(154.15)
Net cash used in financing activities	(631.1)	(631.2)	0.13
Net increase (decrease) in cash and cash equivalents	(549.6)	(191.3)	(358.34)
Cash and cash equivalents at beginning of period	1,768.2	1,691.7	76.51
Cash and cash equivalents at end of period	1,218.6	1,500.4	(281.84)

In 6M26, net cash flows from operating activities amounted to Baht 509.6 million, down from Baht 713.9 million in the same period of the previous year. Despite an increase in operating profit, operating cash flow decreased mainly due to changes in current assets and liabilities. Accrued medical treatment income increased by Baht 133.1 million, in line with revenue growth and the payment cycle of government counterparties, while trade receivables and inventories also increased. However, the increase in trade payables and other current payables provided some support to operating liquidity.

For investing activities, the Company recorded net cash used in investing activities of Baht 428.1 million, compared with Baht 274.0 million in the same period of the previous year. The increase was mainly attributable to cash payments for the acquisition of property, plant and equipment of Baht 326.6 million, as well as advance payments for building construction and medical equipment amounting to Baht 104.4 million. These investments were made to support the continued expansion and enhancement of the Group's medical service capabilities.

For financing activities, the Company recorded net cash used in financing activities of Baht 631.1 million, broadly in line with Baht 631.2 million in the previous year. The major item was dividend payments to the Company's shareholders amounting to Baht 550.0 million, together with repayments of long-term loans from financial institutions of Baht 49.3 million and payments for lease liabilities and interest totaling Baht 21.2 million.

Please be informed accordingly.

Yours faithfully,
(Mr.Kriengsak Plussind)
Chairman of the Board